

**SUBSTITUTE FOR
SENATE BILL NO. 553**

A bill to amend 2018 PA 57, entitled
"Recodified tax increment financing act,"
by amending sections 703, 705, and 710 (MCL 125.4703, 125.4705, and
125.4710).

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 703. As used in this part:

2 (a) "Operations" means office maintenance, including salaries
3 and expenses of employees, office supplies, consultation fees,
4 design costs, and other expenses incurred in the daily management
5 of the authority and planning of its activities.

6 (b) "Parcel" means an identifiable unit of land that is
7 treated as separate for valuation or zoning purposes.

8 (c) "Public facility" means a street, and any improvements to



1 a street, including street furniture and beautification, park,
2 parking facility, recreational facility, right-of-way, structure,
3 waterway, bridge, lake, pond, canal, utility line or pipe, or
4 building, including access routes designed and dedicated to use by
5 the public generally, or used by a public agency, that is related
6 to access to inland lakes **or inland river systems** or a water
7 resource improvement, or means a water resource improvement. Public
8 facility includes an improvement to a facility used by the public
9 or a public facility as those terms are defined in section 1 of
10 1966 PA 1, MCL 125.1351, if the improvement complies with the
11 barrier free design requirements of the state construction code
12 promulgated under the Stille-DeRossett-Hale single state
13 construction code act, 1972 PA 230, MCL 125.1501 to 125.1531.

14 (d) "Specific local tax" means a tax levied under 1974 PA 198,
15 MCL 207.551 to 207.572, the commercial redevelopment act, 1978 PA
16 255, MCL 207.651 to 207.668, the technology park development act,
17 1984 PA 385, MCL 207.701 to 207.718, or 1953 PA 189, MCL 211.181 to
18 211.182. The initial assessed value or current assessed value of
19 property subject to a specific local tax ~~shall be~~ **is** the quotient
20 of the specific local tax paid divided by the ad valorem millage
21 rate. The state tax commission shall prescribe the method for
22 calculating the initial assessed value and current assessed value
23 of property for which a specific local tax was paid in lieu of a
24 property tax.

25 (e) "State fiscal year" means the annual period commencing
26 October 1 of each year.

27 (f) "Tax increment revenues" means the amount of ad valorem
28 property taxes and specific local taxes attributable to the
29 application of the levy of all taxing jurisdictions ~~upon~~ **on** the



1 captured assessed value of real and personal property in the
2 development area. Tax increment revenues do not include any of the
3 following:

4 (i) Taxes under the state education tax act, 1993 PA 331, MCL
5 211.901 to 211.906.

6 (ii) Taxes levied by local or intermediate school districts.

7 (iii) Ad valorem property taxes attributable either to a portion
8 of the captured assessed value shared with taxing jurisdictions
9 within the jurisdictional area of the authority or to a portion of
10 value of property that may be excluded from captured assessed value
11 or specific local taxes attributable to the ad valorem property
12 taxes.

13 (iv) Ad valorem property taxes excluded by the tax increment
14 financing plan of the authority from the determination of the
15 amount of tax increment revenues to be transmitted to the authority
16 or specific local taxes attributable to the ad valorem property
17 taxes.

18 (v) Ad valorem property taxes exempted from capture under
19 section ~~815(5)~~ **715(5)** or specific local taxes attributable to the
20 ad valorem property taxes.

21 (vi) Ad valorem property taxes specifically levied for the
22 payment of principal and interest of obligations approved by the
23 electors or obligations pledging the unlimited taxing power of the
24 local governmental unit or specific taxes attributable to those ad
25 valorem property taxes.

26 (vii) Ad valorem property taxes levied under 1 or more of the
27 following or specific local taxes attributable to those ad valorem
28 property taxes:

29 (A) The zoological authorities act, 2008 PA 49, MCL 123.1161



1 to 123.1183.

2 (B) The art institute authorities act, 2010 PA 296, MCL
3 123.1201 to 123.1229.

4 **(viii)** ~~(C)~~ Except as otherwise provided in section 715(5), ad
5 valorem property taxes or specific local taxes attributable to
6 those ad valorem property taxes levied for a separate millage for
7 public library purposes approved by the electors after December 31,
8 2016.

9 (g) "Water resource improvement" means enhancement of water
10 quality and water dependent natural resources, including, but not
11 limited to, the following:

12 (i) The elimination of the causes and the proliferation of
13 aquatic nuisance species, as defined in section 3101 of the natural
14 resources and environmental protection act, 1994 PA 451, MCL
15 324.3101.

16 (ii) Sewer systems that service existing structures that have
17 failing on-site disposal systems.

18 (iii) Storm water systems that service existing infrastructure.

19 (iv) Dredging, removal of spoils, or other improvements or
20 maintenance activities that enhance navigability of a waterway **or**
21 **the drainage of a storm water management system.**

22 **(v) Green storm water infrastructure.**

23 **(vi) Natural shoreline protection.**

24 **(vii) Ecological assessments.**

25 **(viii) Seawall replacement with nature-based shoreline erosion**
26 **control methods.**

27 **(ix) Lake management planning.**

28 **(x) Water quality monitoring.**

29 **(xi) Boat wash stations at public launches.**



(xii) Stewardship and education events.

(xiii) Fish stocking and other wildlife enhancements.

(xiv) Access to and maintenance of boat launch infrastructure.

(xv) Watershed management projects for water quality enhancement.

(xvi) Storm water system improvements, including both of the following:

(A) Maintenance or development of green storm water infrastructure.

(B) Maintenance or development of drains, ditches, pump stations, flood protection infrastructure, or other drainage infrastructure.

(xvii) Watershed and storm water management plans, studies, inspections, ordinances, or public education.

(xviii) Acquisition, ownership, construction, or conservation of property rights for use of right-of-way access and natural area conservation and preservation.

(h) "Water resource improvement district" or "district" means 1 or more of the following:

(i) An inland body of water and land that is up to 1 mile from the shoreline of an inland lake that contains 1 or more public access points.

(ii) An inland body of water and parcels of land that are contiguous to the shoreline of an inland lake that does not contain a public access point.

(iii) The shoreline of a harbor on a Great Lake and 1 or more of the following:

(A) Land up to 1 mile from the shoreline of the harbor.

(B) A tributary to that Great Lake harbor up to 5 miles



1 upstream from the shoreline of the Great Lake harbor.

2 (C) Land up to 1 mile from each bank of the tributary
3 described in sub-subparagraph (B).

4 **(iv) An inland river system and land that is up to 1 mile from**
5 **the shoreline of an inland river system.**

6 Sec. 705. (1) If the governing body of a municipality
7 determines that it is necessary for the best interests of the
8 public to promote ~~water resource improvement or access to inland~~
9 ~~lakes, or both,~~ **1 or more of the following** in a water resource
10 improvement district, the governing body may, by resolution,
11 declare its intention to create and provide for the operation of an
12 authority within the boundaries of a water resource improvement
13 district:

14 **(a) Water resource improvement.**

15 **(b) Access to inland lakes.**

16 **(c) Access to inland river systems.**

17 (2) In the resolution of intent, the governing body shall set
18 a date for a public hearing on the adoption of a proposed ordinance
19 creating the authority and designating the boundaries of the
20 development area. Notice of the public hearing ~~shall~~ **must** be
21 published twice in a newspaper of general circulation in the
22 municipality, not less than 20 or more than 40 days before the date
23 of the hearing. Not less than 20 days before the hearing, the
24 governing body proposing to create the authority shall also mail
25 notice of the hearing to the property taxpayers of record in the
26 proposed development area and to the governing body of each taxing
27 jurisdiction levying taxes that would be subject to capture if the
28 authority is established and a tax increment financing plan is
29 approved. Failure of a property taxpayer to receive the notice does



1 not invalidate these proceedings. Notice of the hearing ~~shall~~**must**
 2 be posted in ~~at least~~**not fewer than** 20 conspicuous and public
 3 places in the proposed development area not less than 20 days
 4 before the hearing. The notice ~~shall~~**must** state the date, time, and
 5 place of the hearing and ~~shall~~**must** describe the boundaries of the
 6 proposed development area. A citizen, taxpayer, or property owner
 7 of the municipality or an official from a taxing jurisdiction with
 8 millage that would be subject to capture has the right to be heard
 9 ~~in regard to~~**regarding** the establishment of the authority and the
 10 boundaries of the proposed development area. The governing body of
 11 the municipality shall not incorporate land into the development
 12 area not included in the description contained in the notice of
 13 public hearing, but it may eliminate described lands from the
 14 development area in the final determination of the boundaries.

15 (3) Not less than 60 days after the public hearing, if the
 16 governing body of the municipality intends to proceed with the
 17 establishment of the authority it shall adopt, by majority vote of
 18 its members, an ordinance establishing the authority and
 19 designating the boundaries of the development area within which the
 20 authority ~~shall~~**may** exercise its powers. The adoption of the
 21 ordinance is subject to any applicable statutory or charter
 22 provisions in respect to the approval or disapproval by the chief
 23 executive or other officer of the municipality and the adoption of
 24 an ordinance over ~~his or her~~**that officer's** veto. This ordinance
 25 ~~shall~~**must** be filed with the secretary of state promptly after its
 26 adoption and ~~shall~~**must** be published at least once in a newspaper
 27 of general circulation in the municipality.

28 (4) The governing body of the municipality may alter or amend
 29 the boundaries of the development area to include or exclude lands



1 from the development area in the same manner as adopting the
2 ordinance creating the authority.

3 (5) A municipality that has created an authority may enter
4 into an agreement with an adjoining municipality that has created
5 an authority to jointly operate and administer those authorities
6 under an interlocal agreement under the urban cooperation act of
7 1967, 1967 (Ex Sess) PA 7, MCL 124.501 to 124.512.

8 Sec. 710. (1) The board may do any of the following:

9 (a) Prepare an analysis of ~~water resource improvement and~~
10 ~~access to inland lakes~~ issues taking place in the development area
11 **related to water resource improvement and access to inland lakes**
12 **and inland river systems.**

13 (b) Study and analyze the need for water resource improvements
14 and access to inland lakes ~~upon~~ **and inland river systems in** the
15 development area.

16 (c) Plan and propose the construction, renovation, repair,
17 remodeling, rehabilitation, restoration, preservation, or
18 reconstruction of a public facility that may be necessary or
19 appropriate to the execution of a plan that, in the opinion of the
20 board, aids in water resource improvement or access to inland lakes
21 **or inland river systems** in the development area. The board is
22 encouraged to develop a plan that conserves the natural features,
23 reduces impervious surfaces, and uses landscaping and natural
24 features to reflect the predevelopment site.

25 (d) Plan, propose, and implement an improvement to a public
26 facility within the development area to comply with the barrier
27 free design requirements of the state construction code promulgated
28 under the Stille-DeRossett-Hale single state construction code act,
29 1972 PA 230, MCL 125.1501 to 125.1531.



1 (e) Develop long-range plans for water resource improvement
2 and access to inland lakes **and inland river systems** within the
3 district.

4 (f) Implement any plan of development for water resource
5 improvement and access to inland lakes **and inland river systems** in
6 the development area necessary to achieve the purposes of this part
7 in accordance with the powers of the authority granted by this
8 part.

9 (g) Make and enter into contracts necessary or incidental to
10 the exercise of its powers and the performance of its duties.

11 (h) Acquire by purchase or otherwise, on terms and conditions
12 and in a manner the authority considers proper, or own, convey, or
13 otherwise dispose of, or lease as lessor or lessee, land and other
14 property, real or personal, or rights or interests in the property,
15 that the authority determines is reasonably necessary to achieve
16 the purposes of this part, and to grant or acquire licenses,
17 easements, and options.

18 (i) Improve land and construct, reconstruct, rehabilitate,
19 restore and preserve, equip, clear, improve, maintain, and repair
20 any public facility, building, and any necessary or desirable
21 appurtenances to those buildings and operate a water resource
22 improvement, as determined by the authority to be reasonably
23 necessary to achieve the purposes of this part, within the
24 development area for the use, in whole or in part, of any public or
25 private person or corporation, or a combination thereof.

26 (j) Fix, charge, and collect fees, rents, and charges for the
27 use of any facility, building, or property under its control or any
28 part of the facility, building, or property, and pledge the fees,
29 rents, and charges for the payment of revenue bonds issued by the



1 authority.

2 (k) Lease, in whole or in part, any facility, building, or
3 property under its control.

4 (l) Accept grants and donations of property, labor, or other
5 things of value from a public or private source.

6 (m) Acquire and construct public facilities.

7 (n) Plan and implement water resource improvements in harbors
8 of the Great Lakes and their tributaries, including, but not
9 limited to, dredging, removal of spoils, and other improvements or
10 maintenance activities that enhance navigability of a waterway.

11 (2) The board shall prepare a water resource management plan
12 in consultation with the department of ~~environmental quality,~~
13 **environment, Great Lakes, and energy**, the department of natural
14 resources, or any other entity with expertise in water quality
15 management and invasive species management.

16 (3) The board may apply for the necessary state and federal
17 permits required for a public facility or a water resource
18 improvement under this part.